

Having a well-balanced portfolio means that in low-growth and low-inflation environments, bonds may outperform and sustain the portfolio, whereas equities and REITs may perform better and sustain the portfolio under high-inflation and high-growth scenarios. [Table B.6](#) shows the comparative performance of the 60/40 and parity portfolios, with and without 12-month absolute momentum, overall and by decade. The parity portfolio with absolute momentum maintains the highest Sharpe ratio and the lowest drawdown throughout the data. [Figure B.16](#) is a chart of the parity portfolio versus the 60/40 balanced portfolio, and [Figure B.17](#) shows the parity portfolio versus its components.

Table B.6 Parity Portfolios Versus 60/40 Balanced Portfolios, 1974–2012

	Parity w/Abs Mom	Parity Portfolio	60/40 w/Abs Mom	60/40 Portfolio
All Data				
Annual return	11.98	11.28	11.52	10.86
Annual std dev	5.75	8.88	7.88	10.77
Annual Sharpe	1.06	0.62	0.72	0.47
Max drawdown	−9.60	−30.40	−13.45	−29.32
% Profit, months	75	69	74	63
1974–1983				
Annual return	15.78	13.10	11.37	9.41
Annual std dev	7.20	10.05	6.88	12.35
Annual Sharpe	0.86	0.38	0.33	0.04
Max drawdown	−6.31	−16.89	−8.19	−22.95
% Profit, months	80	64	81	52
1984–1993				
Annual return	12.34	10.19	14.48	15.63
Annual std dev	4.98	5.62	9.78	11.40
Annual Sharpe	1.09	0.62	0.75	0.73
Max drawdown	−4.28	−6.53	−13.45	−16.99
% Profit, months	78	71	79	68